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## Trump-Xi bonhomie can't paper over tensions

LITTLE OF substance was achieved at the Donald Trump-Xi Jinping summit this week, particularly on the three Ts that have come to define the US-China relationship. On trade, US Treasury Secretary Scott Bessent said the two countries had agreed to extend the Busan truce, which expires in November, when China's suspension of its rare-earth export restrictions is also due to end. On technology, Trump said he was content to leave AI "exactly where it is", while Xi merely stressed the need to maintain human control over it. And on Taiwan, Xi urged Trump to oppose Taiwanese independence, even as the US has held back an arms package for Taiwan worth about \$14 billion. The pageantry, however, appears to have been the overarching objective of the meeting. A strategy of managed stability suits both sides for the moment: Trump is bogged down by the war in Iran with the midterm elections around the corner, while Xi is contending with a slowing economy ahead of next year's Communist Party Congress.

What does stand out from the summit, however, is the red carpet Trump rolled out — literally — for Xi, personally receiving him at Joint Base Andrews for their third meeting in less than a year. Trump referred to their "truly great friendship", and Xi reciprocated by using the US President's own catchphrase while stressing the need for closer cooperation: "Achieving the great rejuvenation of the Chinese nation and making America great again can go hand in hand." Such personalisation of the US-China relationship may help the two sides keep tensions temporarily contained and preserve a fragile *modus vivendi*. The US is heavily reliant on China's critical minerals, and Beijing wants an open market in the US for its goods. This means that neither country has an incentive to tackle any of the fundamental disputes. But managed stability can also allow unresolved tensions to accumulate, making a future rupture more difficult to contain.

Nowhere are the risks more apparent than in the case of AI. Despite growing calls for an agreement on AI safety, especially amid warnings from leading US AI companies that the pace of AI development needs to slow, neither Washington nor Beijing has much incentive to constrain a technology they see as a source of strategic power. The history of arms control offers little reason to expect either side to make concessions. The worry for other countries, including India, is that an AI dialogue between Washington and Beijing could evolve into a framework in which the two leading powers set the rules for everyone else. Pursuing cooperation with allies and building indigenous capability should be New Delhi's priority.

## Growth holds up for now. Inflation clouds outlook

OVER THE past few days, global agencies have upgraded their full-year growth estimates for India, following the first-quarter GDP estimates that showed a stronger-than-expected economic momentum. The Asian Development Bank, for instance, is now pegging growth at 7 per cent for the year, up from its earlier forecast of 6.6 per cent. S&P Global is now forecasting the economy to grow at 7 per cent, while the OECD has raised its projection from 6.3 per cent to 7.1 per cent. Moody's had earlier raised its growth forecast for the year to 7 per cent, up from 6 per cent.

Some of the commentary has revolved around investments, industrial activity and exports as driving growth, despite concerns over activities being impacted by the conflict in West Asia. Industrial production has been healthy, with IIP growing at 6.3 per cent during April-July and manufacturing by 7 per cent. The Centre's capital spending is growing at a brisk pace — capex has surged by almost 30 per cent during April-July this year. Merchandise exports have grown at a robust 17.8 per cent during April-August, aided perhaps by a weak currency. Growth, however, is expected to moderate towards the second half of the year. As per S&P Global, "growth to ease in the second half of the fiscal year as the tailwinds from general sales tax rationalisation and income tax cuts diminish". The OECD also expects the momentum to weaken, "before a gradual recovery takes place in 2027". The farm sector has emerged as a key area of risk. As per the ADB, "Worse-than-expected El Niño could reduce agricultural output and raise food inflation" in the wider region.

Price pressures are building up in the economy, and the expectations of higher interest rates have gained traction. S&P Global expects inflation to average 5.1 per cent, and the RBI to "raise its policy rate by 25 bps in the current fiscal year". As per the OECD, "India is projected to raise policy rates temporarily to help offset stronger inflationary pressures." The central bank's monetary policy committee is slated to meet in a few weeks. The growth-inflation dynamics should tilt the scales towards tighter policy.

# A declining United Nations is not good news for a rising India



SYED  
AKBARUDDIN

INDIA IS rising as the United Nations (UN) loses authority. Rivalry among major powers may create room for manoeuvre but it also makes agreements harder to trust. For an aspirational power, that is a poor bargain. Indian diplomacy must win more influence over UN decisions while helping make those decisions matter.

This year's General Assembly is unlikely to resolve that tension. Governments whose consent the UN needs are often pursuing objectives it was established to restrain. A week of diplomacy in New York will do little to change the calculations that lead powerful states to bypass the organisation or block its work.

India needs agreements that hold when relations sour. New Delhi has long defended sovereignty and resisted intrusive international rule-making. Yet constraints imposed by powerful countries can leave it with even less say. The question is who writes the rules and how much influence India has over them. Multilateral arrangements give India a voice in those negotiations and room to cooperate with countries it disagrees with elsewhere.

Ukraine, Gaza and the war involving Iran and the Gulf expose the Security Council's inability to restrain its strongest members and their clients. Sudan demonstrates the consequences of neglect. The Council was designed to work when the major powers could agree. Its veto gives each permanent member the means to block action when they cannot. Appeals to the Charter have little effect when those expected to uphold it can prevent its enforcement.

Unilateral coercive measures extend this problem into everyday commerce. An Indian company may be free to trade under Indian law yet find that a foreign bank will not process its payment or an insurer will not cover its cargo. Control over these networks lets powerful states project national restrictions far beyond their borders without authorisation from the UN Security Council. Weaponised interdependence leaves Indian businesses exposed to rules their government had no part in writing.

A world divided into rival financial and technological systems could make that dependence harder to escape. India might gain bargaining opportunities, but access to a market or technology could increasingly require accepting the conditions of one camp. A larger economy will not by itself remove that vulnerability.

The UN retains value even when its Council is paralysed. Universal membership gives smaller countries a claim to be heard without a major power's invitation. Its agencies deliver relief, document the human cost of crises and organise the scientific assessments used in climate negotiations. As climate shocks and widening inequalities strain developing countries, the UN gives them a forum to press claims on climate finance and sustainable development.

That is not enough. The UN still falls short too often. The Secretariat must simplify procedures, cut duplication and spend carefully. Governments are also weakening the organisation they invoke when convenient. They assign tasks they

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do not fund, delay payments they owe, and cut assistance while expecting the UN to absorb the damage. A peace operation given an ambitious mandate and inadequate resources is being set up to fail.

AI presents an early test of who gets to write rules that matter. The UN's independent scientific panel has warned that AI agents could become harder for humans to control. On September 23, technology executives briefed the Security Council on AI's risks. The Council has a role where AI threatens international security. Companies bring essential expertise, but also commercial interests. AI's reach into employment, education and development needs wider consideration. India should press for safety standards and access to technology to be negotiated where developing countries have a voice. Permanent members and some technology firms cannot represent everyone whose future these rules will shape.

India's influence at the UN depends on the partners it can bring to a negotiation. On September 21, India helped launch Partners for Multilateralism, or P4M, with Brazil, Canada, Kenya, the EU, Australia and Barbados. The group spans different

diplomatic camps. The declaration recognises that economic interdependence is being used to exert pressure, disrupting trade, supply chains and development finance. Each partner has relationships that could help India persuade countries it might not otherwise persuade. Joint proposals on climate finance or protec-

tion against economic coercion could attract wider support. That work need not wait for agreement on the more contentious questions of UN reform.

The world's most populous democracy and a major economy, India has a compelling claim to permanent membership. Africa's exclusion from permanent membership makes the case for Council reform harder to ignore. Regional rivalries obstruct agreement on expansion. Charter amendments also require ratification by all five permanent members. An elected seat is the nearer prospect.

A practical priority for External Affairs Minister S Jaishankar at this Assembly is to secure support for India's candidature for an elected Security Council seat for the 2028-29 term. Its opponent in the June 2027 election is Tajikistan, which has never served on the Council. A founding UN member in 1945, India has contributed more than 275,000 personnel to UN peacekeeping. Smaller countries will also want to know how India would use another term to address their concerns. India can draw on that record to argue for mandates troops can carry out, and for affected countries to be heard before the Council acts.

A Council term would give India more scope to negotiate agreements and insist that governments honour them. The test will come when an agreement obstructs the choices of powerful states. The Charter matters most when it gets in the way.

*The writer is former permanent representative of India to the UN, and dean, Kautilya School of Public Policy, Hyderabad*